paying higher deposit rates, will cut their lending rates. The reason is that the depositor, given her high inflationary expectations, will not settle for less than the rates banks are paying her. Inflation is placing a floor on deposit rates, and thus on lending rates.

Currently, therefore, we do not believe the policy rate is at a level where it can affect demand significantly, one way or the other. We do believe, however, that as inflation comes down because of the weak economy and strong food production, the policy rate will become a stronger influence on bank interest rate setting, and will start influencing demand.

A more important source of our influence today, however, is expectations. If people believe we are serious about inflation, and their expectations of inflation start coming down, inflation will also come down. Of course, many people form expectations simply by extrapolating the most recent or most salient experience they have. So we also need to take advantage of the current episode of food price disinflation to bring down expectations – yet another reason for acting now.

Let us turn from answering those who want us to go slow to those who want us to do more. If we think inflation is so important, why don't we 'do a Volcker' and try and bring down inflation quickly by raising rates sky high? Of course, if we do raise policy rates substantially, banks will also have to raise rates to match us. While this may lead to a collapse in demand and bring inflation down quickly, it will cause significant damage to the economy – remember the severe recession Volcker's Fed brought about and the Savings and Loan Crisis that followed?

A developing country is not in the same resilient position as the United States. Rather than administer shock therapy to a weak economy, the RBI prefers to dis-inflate over time rather than abruptly,